

investor. A high going-in valuation does not guarantee a bad result; it just makes it less likely. Likewise, mediocre management, lousy capital allocation, and misaligned interests do not ensure failure, but they do lower the chances of success. Conversely, excellent leadership, intelligent capital deployment, and aligned interests put the wind at the investor's back. Though Graham and Dodd were reticent to take these intangible and sometimes ephemeral factors into consideration, I believe the conservative principles espoused in *Security Analysis* can and should be applied to them. Doing so is part of creating a margin of safety in today's investment landscape.

While this book's central themes remain critically important, the deployment of those ideas has necessarily changed over time. Markets shift and evolve. Information is rapidly disseminated; dislocations that cause large discrepancies between price and value are rapidly exploited and then quickly disappear. Those who discover a profitable niche usually attempt to exploit it further. This brings additional capital to the asset class, spreads the word of its attractiveness, and hastens the closing of that window of opportunity. I have seen several such opportunities come and go during my own career.

Years before I arrived on Wall Street, people like Gus Levy of Goldman Sachs figured out that once a company had become the subject of a takeover bid, investors would tend to dump the stock without much thought, leaving a "small" amount of money on the table. Levy understood that the dollar of profit gained by buying a company at \$20 before it was to be acquired for \$21 produced a high annualized return that more than compensated for the losses that occurred when deals fell apart. Such situations lent themselves to analysis that not everyone was equipped to perform. But by the time I got to Wall Street, where my first job was in the merger arbitrage department of a boutique firm, the jig was practically up. Word had gotten out that juicy profits could be had in risk arbitrage, and so firms dedicated to